

Meeting Name:	Cabinet
Date:	2 December 2025
Report title:	Policy and Resources: Budget Setting Update 2026-27
Cabinet Member:	Councillor Stephanie Cryan – Cabinet Member for Equalities, Democracy and Finance
Ward(s) or groups affected:	All
Classification:	Open
Reason for lateness (if applicable):	See paragraphs 76-77

FOREWORD – COUNCILLOR STEPHANIE CRYAN, CABINET MEMBER FOR EQUALITIES, DEMOCRACY AND FINANCE

In 2023 we set a three year budget that has helped us to better plan our finances to ensure we deliver vital front line services and continue to fund the things our residents have told us are important to them. In a period of financial uncertainty across local government, this has stood us in good stead and our finances in the General Fund have continued to remain robust.

The Chancellor’s budget, presented just last week, confirms that the Government will be providing a three-year funding settlement when we receive the provisional statement in late December. Although there is still much detail to follow, including the final outcome of the Fair Funding Review and any associated transitional arrangements, that three-year settlement will allow us the opportunity to plan into the longer term and deliver the services our residents need.

Whilst we fully agree with the principle of Fair Funding and ensuring that councils are funded according to need and deprivation, the recent Policy Statement on the funding settlement means that for Southwark we will be looking at a funding gap of £60m - £90m. We welcome the commitment to consolidate funding streams into a much clearer and simpler system and the certainty that a three year settlement provides. We will continue to make the case for including housing costs as an index of deprivation to ensure that housing costs for Inner London Boroughs are taken into account.

Our work on Transformation will be vital in helping to deliver on our Southwark 2030 goals as well as fostering a one council approach to savings and efficiencies, ensuring support our most vulnerable residents.

Our cost-of-living work over the past few years has specifically focused on supporting our most vulnerable residents including those with children and struggling with energy bills. So alongside much good budget news, I specifically welcome the scrapping of the ‘two child cap’ and action being taken to drive down energy bills. Modelling done by Southwark council estimates that more than 8,200

children in the borough, from 2,350 families will benefit from the scrapping of the cap. The action on energy bills will, in turn, see an average cut of £150 from household energy bills.

As our Labour Government steps up and fulfils the duties in government that their predecessors so obviously failed to do, we will have the time and space to work on longer term, strategic prevention work to reduce inequalities and to continue to invest in our Borough.

RECOMMENDATIONS

That cabinet note:

1. The update to the local government funding arrangements including the policy statement and the autumn budget
2. The approach to setting the 2026-27 budget.
3. The proposed options to help achieve a balanced 2026-27 (Appendix A).
4. The draft fees and charges schedules (Appendix B).
5. Strategic Directors will continue to work with their respective Cabinet Members to find additional savings options to close the estimated funding gap.
6. Equality Impact Assessments are ongoing, and a cumulative impact assessment will be presented to cabinet as part of the budget update in February.
7. The contents of this report will be considered by the Overview and Scrutiny Committee in December 2025 and January 2026 prior to February 2026 cabinet.

POST DECISION IMPLEMENTATION

8. N/A

BACKGROUND INFORMATION

9. Each year, the council reviews and updates its Policy and Resources Strategy, which typically aligns with the duration of the government's financial settlement. This strategy forms the basis for the draft annual budget, which is presented to Cabinet in July, December, and February for consideration and refinement. In accordance with the Local Government Finance Act, the 2025–26 annual budget was formally approved by Council Assembly in February 2025 alongside the statutory council tax setting.
10. The council has adopted a three-year budget framework to support long-term

financial sustainability and strengthen its strategic approach to resource planning. This process reinforces the council's commitment to efficiency and ensures that the policies and priorities outlined in the Council Delivery Plan are aligned with projected financial resources over the medium term. As part of this framework, savings and spending commitments were established for the period 2024–25 to 2026–27. Following the approval of the 2025–26 budget and the presentation of an initial draft balanced budget for 2026–27 in February 2025, the government announced a major reform to local government finance—set to take effect from 2026–27—through the Fair Funding Review. This reform marks a significant and major reform in how funding will be distributed across councils, with implications for future budget planning and service delivery. The provisional local government settlement, expected in late December 2025, is anticipated to outline the new funding framework and allocations for the period 2026–27 to 2029–30.

11. This report sets out an approach to setting the annual budget for 2026-27 and also establishing the strategic parameters for the next Medium Term Financial Strategy (MTFS) period covering 2027-28 to 2029-30.
12. The report is structured as follows:
 - Updates to local government funding
 - Fair Funding review
 - November Policy Statement
 - Autumn Budget
 - Approach to 2026-27 budget setting and Medium Term Financial Strategy (MTFS)
 - Budget Setting process
 - Risk areas
 - Transformation savings
 - Budget Assumptions
 - July cabinet report – starting position for 2026-27 annual budget
 - Likely revisions to the 2026-27 budget following updates to local government funding arrangements
 - Long term strategy for Medium Term Financial Strategy (MTFS)
 - Update on the Housing Revenue Account (HRA).

KEY ISSUES FOR CONSIDERATION

Updates to local government funding

Fair Funding Review

13. The need to modernise local government funding was first formally recognised in December 2017, when the previous government initiated work on developing a new formula to replace the outdated grant system. The existing distribution methodology and underlying data have not been updated since 2013, coinciding with the introduction of the business rates retention system.

This prolonged period without reform has contributed to growing disparities in funding allocations and service pressures across councils.

14. In December 2024, the government launched a high-level consultation titled *Local Authority Funding Reform: Objectives and Principles*¹, inviting stakeholder views on the design of a reformed funding system that would be fair, simple, and transparent. Building on this foundation, the government published *Fair Funding 2.0*² on 20 June 2025—a formal consultation setting out proposals for multi-year funding settlements under the Local Government Finance Settlement, commencing in 2026–27. Alongside this, a reset of the national non-domestic rating system has also been proposed, with implementation aligned to the same financial year.
15. The consultation focused on several core areas of reform:
 - Consolidation of grants
 - Measuring demand and cost of services, and creating a simplified formula to assess relative need
 - Equalisation of resources through a notional council tax level
 - Reform of the New Homes Bonus
 - Business rates retention system – full reset of business rate growth in 2026–27
 - Devolution and strategic authority funding
 - Sales, fees, and charges reform
 - Transitional arrangements – a three year phased transition with a funding floor to protect councils at 2025-26 levels.
16. An initial analysis of the impact of this by London Councils, indicated that 23 out of 32 boroughs would face a reduction in funding under the proposed model. Inner London authorities were projected to be the most adversely affected, raising concerns about the redistribution effects of the new formula for London.
17. The Institute for Fiscal Studies (IFS)³ report on the impacts of the Fair Funding Review on council funding predicted that inner London boroughs would on average see a reduction in funding of 19%, without transitional protection and a cash reduction of 1% between 2025-26 and 2028-29. London Councils modelled the funding reform and found a similar result, so at that time it seemed likely that Southwark would lose around 20% of funding before the application of any transitional protections.
18. The council formally responded to the consultation, welcoming the proposed simplification of the grant system, which is expected to improve transparency and operational efficiency. However, the council expressed concern that the new funding model introduced significant volatility in allocations, posing risks to financial stability across the sector. To mitigate these risks, the council responded, that authorities facing reductions, be protected in real terms and

¹ [Local authority funding reform: objectives and principles - GOV.UK](#)

² [The Fair Funding Review 2.0 - GOV.UK](#)

³ [Fair Funding Review 2.0](#)

that a longer transition period of four to five years be implemented to support responsible financial planning and adjustment.

19. As part of its detailed response to the Fair Funding Review consultation, the council highlighted the acute financial pressures in delivering social care and homelessness services, a challenge shared by many London boroughs. The council welcomed the introduction of a separate formula for homelessness, recognising it as a step toward more equitable funding. However, the proposed weighting—particularly for temporary accommodation—was deemed insufficient and not reflective of the actual financial burden. The council also advocated for housing incentives to include targeted support for social housing delivery through the Housing Revenue Account. Similarly, the council noted the proposed weighting for social care did not adequately reflect existing expenditure levels or the scale of demand.
20. To support long-term growth and innovation, the council stressed the importance of a funding system that rewards proactive economic development. It raised concerns about the proposed full reset of National Non-Domestic Rates (NNDR) growth in 2026–27, warning that such a reset could undermine past achievements and disincentivise future investment. Southwark recommended that local authorities retain a meaningful share of business rate growth to sustain momentum in regeneration and local economic initiatives, ensuring that councils are empowered to drive inclusive growth in their communities.

November Policy Statement

21. The local government finance policy statement was published on 20 November 2025 setting out the government's approach ahead of the provisional settlement. Key points included:
 - Multi-year settlement: The government confirmed plans for the first multi-year Local Government Finance Settlement in a decade, covering 2026–27 to 2028–29, alongside reforms under the Fair Funding Review.
 - Fairer funding system: A new evidence-based approach allocated resources based on local need and ability to raise revenue, with greater support for the most deprived areas.
 - Transitional protection: Changes will be phased in over three years, with funding floors and transitional grants to limit losses for councils receiving less support.
 - Targeted support: A new Recovery Grant was announced and designed to provide un-ringfenced funding to councils with greater need and demand for services. This measure is part of the government's commitment to help authorities recover from the impact of past austerity and rebuild essential local services.
 - Additional funding for children's social care prevention.
 - Systemic reforms: Commitment to simplify funding pots, improve transparency, and empower councils through devolution and long-term planning.

Autumn Budget – 26 November 2025

22. The Autumn Budget, originally expected in early November, was rescheduled to 26 November 2025, and the provisional local government settlement is now anticipated in late December 2025. The OBR overall forecast was better than expected with higher spending forecasts tempered by higher than expected tax receipts. Overall economic indicators on growth and inflation are detailed in table 1.

Table 1: Economic Indicators on Growth and Inflation

Indicator	2025	2026	2027
GDP Growth	1.5%	1.4%	1.5%
CPI Inflation	3.5%	2.5%	2.0%

23. Other announcements included:

- From 1 April 2026, the National Living Wage will increase by 4.1% to £12.71 per hour. The National Minimum Wage for 18-20 year olds will also increase by 8.5% to £10.85 per hour and for 16-17 year olds and apprentices by 6.0% to £8.00 per hour.
- Abolition of the two child limit to lift 450,000 out of relative poverty from April 2026.
- Freezing of rail fares and NHS prescriptions for one year
- Freezing Tax thresholds
- Tax on electric car use from 2028

Local government specific

- Business rates – From 1 April 2026, business rates bills in England will be updated to reflect changes in property values since the last revaluation in 2023. There was confirmation of the introduction of two lower multipliers of Retail, Hospitality and Leisure (RHL) – (Table 2)

Table 2: Business Rate Multipliers

Multiplier	2025-26	2026-27	Scope
Small business RHL multiplier		38.2p	RHL hereditaments with RVs under £51,000
Standard RHL multiplier		43p	RHL hereditaments with RVs between £51,000 and £499,999
National small business multiplier	49.9p	43.2p	Non-RHL hereditaments with RVs under £51,000
National standard multiplier	55.5p	48p	Non-RHL hereditaments with RVs between £51,000 and £499,999
High-value multiplier		50.8p	All hereditaments with RVs of £500,000 or above

- The Valuation Office Agency published details of the 2026 Revaluation and the changes in the list. The February Budget report to cabinet will assess the implication for local businesses on these changes.
- The government is to introduce the High Value Council Tax Surcharge a new charge on owners of residential property in England worth £2 million or more, starting in 2028-29. Owners of properties over £2m will be liable for an additional charge of £2,500, rising to £7,500 for properties over £5m.

Table 3: High Value council tax surcharge

The bands and charges are:

Threshold (£m)	Rate (£)
2.0 – 2.5	2,500
2.5 – 3.5	3,500
3.5 – 5.0	5,000
5.0+	7,500

- Local authorities will collect this revenue on behalf of central government. Revenue will be used to support funding for local government services, with further detail to be set out at the next spending review

- A reform to SEND funding will be set out early next year with the extension of the DSG Statutory overrides and the future commitment for the government to assume responsibility for SEND funding.
- Social rent convergence- There will be no decision made about how to implement Social Rent convergence until January 2026. The government remains committed to the 10 year rent settlement announced at the Spending review 2025, which will permit social housing rents to increase by CPI +1%.
- A reduction in the financial cliff edge for claimants in supported housing and temporary accommodation from Autumn 2026. The government is adjusting how earnings are treated for Housing Benefit and Universal Credit claimants in supported housing and temporary accommodation, so that most claimants will not be subject to any reduction in income for working more hours.
- By 2029-30, the government will commit over £2 billion annually for local authorities to repair, renew and fix potholes on their roads – doubling funding since coming into office.

Approach to 2026-27 budget setting

The Budget Setting Process 2026-27

24. This year, the approach taken to setting the annual budget 2026-27 and revising the Medium Term Financial Strategy (MTFS) is to:
- Review the progress of maintaining spending within agreed budgets in 2025-26
 - Establish that the agreed savings targets remain on track for delivery, for 2025-26 and for 2026-27
 - Assume that the starting point for 2026-27 was the agreed draft balanced budget (year 3 of the council's three year MTFS)
 - Update the assumptions after the Local Government Provisional Settlement confirms the Fair Funding arrangement and estimates of inflation and other pressures
 - Address the funding challenges ahead, from the projected impact of the Fair Funding Review and Business Rates reset.

2025-26 Risk areas

25. The revenue monitoring report for this year at month 6 indicates a projected overspend of £26.2 million, after the application of planned reserves. The report highlights the key areas of demand-led pressure and the corresponding mitigation strategies. However, significant challenges remain, particularly in relation to in-year budget pressures in Temporary Accommodation and Social Care. Any pressures that are not fully mitigated in 2025–26 pose a dual risk:

the potential need for unplanned drawdowns on reserves at year-end, and the creation of structural funding gaps that could carry forward into future financial years.

26. Planned savings for 2025–26 and 2026–27 have been largely validated as achievable, although some adjustments to the timing of delivery may be required. Full details of these savings are provided in the revenue monitoring report.

Transformation Savings 2025-26 and 2026-27

27. The reported gap in February 2024 for the years 2025-26 and 2026-27 was estimated at around £10m which was to be bridged through an organisation wide approach to transformation, change and savings rather than a service / departmental led approach. The MTFS set an estimated target of £3m for 2025-26, with a further £7m in 2026-27. The progress on these savings for both years is provided in the revenue monitoring report.

Updated Budget Assumptions

28. The July 2025 Cabinet report presented a revised financial position for 2026–2027, reflecting the Spending Review 2025 funding levels alongside updated assumptions on inflation and economic growth. The MTFS was updated on this basis and identified a projected funding gap of £68 million over the three-year period. However, the report cautioned that this may represent a best-case scenario, as the forthcoming Fair Funding (FF) Review was expected to result in significant shifts in funding—both geographically and between individual local authorities—potentially introducing further financial pressures and uncertainty.
29. Over summer 2025, London Councils modelled the potential impact of the Fair Funding (FF) Review based on the available – but limited -data available, to estimate overall resource levels. This modelling incorporated all grants expected to be rolled into the new formula, including the Revenue Support Grant (RSG), all social care grants (with the exception of the Children’s Prevention Grant), and a portion of the Homelessness Prevention Grant. Several smaller grants were also assumed to be redistributed through the new formula. The changes represented a significant shift in how funding is allocated across local authorities. Based on this modelling, the council estimated a potential government funding loss in the region of £60 million.
30. Given the potential for significant shifts in funding between local authorities, the government consultation paper put forward protections for councils facing substantial reductions—such as Southwark—to remain at least cash-flat at 2025–26 levels and be protected over the three-year period from 2026–27 to 2028–29. On this basis, the budget gap was estimated to be as much as £99m, again based on speculative modelling with the incomplete data available at the time.

31. Following the consultation earlier this year, the government published its November policy statement setting out the outcomes and next steps. In response to feedback, additional protections have been introduced through targeted support. A new 'Recovery Grant Guarantee' has been announced, providing un-ringfenced funding to councils with the greatest need and demand for services. These new measures forms part of the government's commitment to help authorities recover from the impact of past austerity and rebuild essential local services.
32. The council is expected to benefit from this grant. Whilst the precise mechanism for applying the grant will not be confirmed until the provisional settlement, it is clear that the potential large-scale financial loss will be mitigated over the three-year funding period (2026–27 to 2028–29). This support will help smooth the transition and enable the authority to move towards the new fair funding position in a more financially sustainable way. This is a welcome development. The latest information we have on the impact of damping was released in the policy statement and indicates that a real terms increase in in-scope funding is likely but subject to a limit of £35m across the three years of the settlement.
33. As at 28 November 2025, neither London Councils nor the other modellers in the market have produced authority-level forecasts of the likely overall funding allocations based on the policy statement and budget.
34. Whether further protections will be available in 2029–30 will not be known until the next spending review which will cover the period 2029–30 to 2031–32. For comparative purposes we have estimated that funding in 2029-30 will be at least cash flat.
35. Table 4 below highlights the change in assumptions and estimated funding gap.

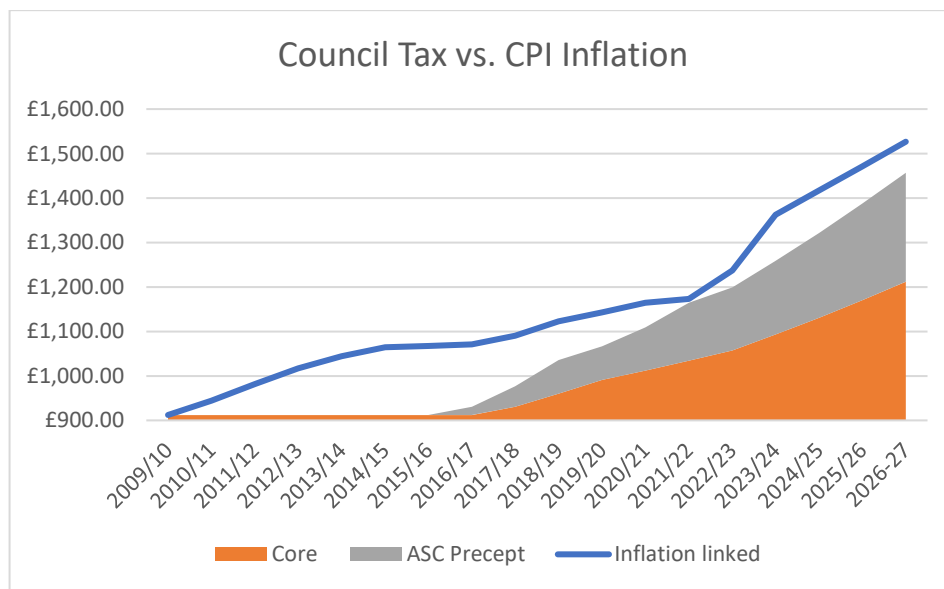
Table 4: Changes to assumptions in the MTFS

MTFS updates	Basis	2026-27 annual budget	Cumulative impact 2027-28 to 2029-30 (i.e budget gap)
February 2025 cabinet report	Final year of 3-year budget - one year only	Balanced	
July cabinet report	Spending Review 2025 increases in overall local govt resource	Balanced	£68m
Summer Projections from Fair Funding review consultation	Fair funding losses - but transitional arrangements - cash flat	Expected budget gap of £10m	£99m
November Policy Statement	Update in data for Fair funding; updated transitional arrangements - new Recovery Grant Guarantee	Broadly Balanced	£60m- £90m

Council Tax

36. The policy statement confirmed that the council tax maximum increase of 4.99% per annum, (core element at 2.99% and social care element at 2%) remained the same as in previous years. The autumn statement introduced a surcharge for properties over £2m, to start in 2028-29, with the increased revenue being retained by central government, and used to support funding for local government services. Further detail is to be set out at the next spending review.
37. The council remains committed to keeping council tax low. The authority has been able to maintain the eighth lowest level of council tax in London in 2025-26 despite having incurred some of the largest reductions in government grants. Table 5 shows that council tax would remain below the charge it would have been if CPI had been applied each year since 2010-11. Similarly, 30 of the 33 London Boroughs raised their council tax by maximum permitted 4.99% in 2025-26 London.

Table 5: Comparison of Actual (and proposed) Council Tax increases vs. Inflation



38. In the context of pressures on council finances, the resilience of reserves and the historical year on year reductions in spending power, council tax remains a key source of income for the council. An increase of 2.99% in council tax amounts to £4.6m income.
39. The Council Tax Relief Scheme continues to provide vital support to our financially vulnerable residents. As part of our ongoing commitment to fairness and value for money, the council is planning to review this scheme as well as the ongoing cost of living support to continue to provide a more integrated and targeted framework. This approach will ensure that, for 2026–27, we maintain council tax support as a key priority—delivering more responsive assistance to those who need it most while maximising the impact of available resources.

40. The Council Tax base report, due at January cabinet, is likely to show a small decline in the council tax base in 2026-27. This pattern is similar across other London authorities, where assumptions are revised downwards. The collection rate in 2024-25 was 96.5% however this remains under review as collection has been persistently challenging since the pandemic and subsequent cost of living crisis. The current estimated council tax deficit attributable to Southwark is estimated to be £5m in 2025-26. The council has set aside reserves to cover this deficit. The revenues collection teams will be reviewing approaches to collection and enforcement, where possible, to sustain the collection rate.

Business Rates

41. From 1 April 2026, business rates bills in England will be updated to reflect changes in property values since the last revaluation in 2023. As detailed in paragraph 23, in the Autumn statement, there was confirmation of the introduction of two lower multipliers of Retail, Hospitality and Leisure (RHL). The February Budget report to cabinet will assess the implications for local businesses of these changes.

Grants outside Fair Funding

42. The Public Health Grant, the Children's Prevention Grant and the Recovery grant will remain outside the scope of the Fair Funding Review. A new Recovery Grant Guarantee will provide transitional protection for the authority to smooth the transition to the new funding arrangement.

Inflation and commitments

43. Pay and contractual inflation remains a significant risk to the council's budget-setting process for 2026–27. With CPI inflation currently at 3.8% and services inflation elevated at 4.7%, the cost pressures on staffing and commissioned services are substantial. CPI estimates in the autumn statement expect inflation to reduce to 2.5% in 2026 and 2% in 2027.
44. The Medium Term Financial Strategy (MTFS) will incorporate prudent inflation assumptions over the spending review period. Key financial commitments will be updated from the July assumptions in 2026–27 to include the annual uplift to the borough's contribution toward the London-wide Freedom Pass, obligations arising from the consolidation of grants and funding streams and the ongoing revenue support for the Women's Safety Centre.

Savings

45. The three year savings plans agreed at February cabinet have largely been confirmed as achievable for 2026-27. A full list of savings and income generation is provided at Appendix A.
46. As the council looks for ways to protect front line services, consideration is given to maximising the council's income generation by seeking income

streams in line with council policies and priorities. Under Part 3C of the constitution, cabinet is responsible for the approval of new fees and charges and agreement of charging levels in line with the medium term resources strategy. In reviewing fees and charges for 2026-27 the policy is to increase them to a level that is at least in line with neighbouring authorities except where this either conflicts with council policy or would lead to adverse revenue implications or would impact adversely on vulnerable clients. The draft schedules have used 5% as a default increase (Appendix B).

47. In July 2024, Cabinet was presented with a revised strategy for closing the budget gap. This marked a shift from a department-led approach to a more integrated, organisation-wide model for transformation, change, and savings. The new approach is designed to deliver both financial and non-financial benefits, supporting the delivery of Southwark 2030 while maintaining financial sustainability over the medium term. Further details on the areas of focus was provided in the February 2025 budget report and the July 2025 budget remit.
48. The transformation programme is budgeted to deliver £3m in savings during 2025-26 and £7m in 2026-27. Progress across programmes is variable. Some are more advanced, while others—due to the complexity of proposals—will take longer to realise benefits. As noted in the latest financial monitoring report to cabinet, the expected delivery is currently £250k against the £3m target for 2025-26, and £1.35m against the £7m target for 2026-27.
49. The projected budget gap for 2026-27, between expected and currently forecast savings, will require a disciplined and robust programme management approach. This is essential to ensure activities are delivered effectively; benefits are realised, and the full cashable savings are achieved. These savings must be permanent to support the council's long-term financial sustainability.
50. Looking ahead to the 2027-28 to 2029-30 period, as outlined in the MTFS section of this report, the transformation agenda will need to evolve further. It must become more ambitious and innovative, with a broader and more challenging scope. To deliver tangible benefits within the next MTFS timeframe, the programme will need to be more sharply focused and delivered at pace.

2026-27 Budget

51. The budget for 2026–27 will be presented to Cabinet in February 2026, following publication of individual local authority allocations in the provisional settlement. At present, the level of uncertainty is significant. There is no clarity on how damping will operate, making it difficult to accurately assess the overall grant funding. However, based on the policy statement and the Autumn Statement, the following assumptions remain:
 - The Fair Funding Review is expected to substantially reduce the council's grant allocation over the medium term.

- Transitional arrangements to protect against short term and large losses are anticipated to be substantially more generous than previously expected.

Reserves and Balances

52. The council maintains the level of earmarked reserves, and these are reported each year within the annual statement of accounts. These reserves are maintained to fund:
 - invest to save opportunities, which form part of the modernisation agenda and are expected to deliver future ongoing revenue savings.
 - investment in regeneration and development where spend may be subject to unpredictable market and other factors.
 - exceptional items or pressures which are difficult to predict, and which are not included in revenue budgets or within the capital programme.
53. For a number of years previously, the council had planned for the use of reserves to help smooth the impact of government funding reductions and other budget pressures, especially during the period of austerity. Not only did this help to protect council services but it has also allowed time to transition towards new ways of working, productivity improvements and efficiencies.
54. The General Fund budget proposals in July for 2026–27 include a planned contribution of £2.5 million from general reserves to balance the budget. This will be reviewed once the provisional settlement is published. The level of balance remains subject to the scrutiny of the section 151 officer who must ensure that any one off contributions to the budget is appropriate and affordable. In previous years, this judgment has been facilitated by the availability of unused contingency funds as budgets have met their targets.

HOUSING REVENUE ACCOUNT BUDGET SETTING

55. The Council's Housing Revenue Account continues to operate in a fiscally constrained environment as a result of external factors outside of the Council's control. Government interventions in rent policy over the last decade combined with ongoing inflationary pressures, high interest rates, unfunded regulatory burdens and increasing demand for services continue to outstrip the resources available. Whilst the Council remains committed to protecting frontline services and delivering on the ambitions of the Southwark 2030 strategy, it is statutorily required to set a balanced budget in accordance with duties contained in the Local Government and Housing Act 1989.
56. Following the HRA budget deficit in 2023-24, the Council acted quickly to put in place additional financial and governance measures to address the immediate threat and ensure long-term resilience, through the implementation of the HRA Recovery Plan.
57. Phase 1 (covering the initial three years) sought to swiftly reduce revenue spending in order to prevent further deterioration in the financial position by:

- Imposing a spending moratorium in 2023-24 and setting strict service cash limits (including savings targets) to reduce expenditure in 2024-25 and 2025-26, to prevent or minimise revenue deficits.
- Reducing planned revenue contributions to cover revenue budget shortfalls as required.
- Minimise the need for temporary borrowing to fund the asset management capital programme (option of last resort).
- Disposing of redundant and uneconomic HRA assets to minimise the borrowing requirement and revenue financing impact.
- Pausing some pre-construction New Homes sites to reduce the borrowing requirement and revenue financing impact.

58. Phase 2 (covering ten years plus), seeks to reset revenue and capital programme budgets, reserves and borrowing over the longer-term to a more sustainable level by:

- Setting realistic and affordable asset management capital programme budgets and restoring the revenue contribution to a level to ensure it is self-financing and avoids further borrowing.
- Repaying temporary borrowing taken during Phase 1 for the asset management capital programme.
- Limiting any further borrowing for New Homes until macro-economic factors or government policy initiatives and associated funding allows.
- Increase reserves to a more prudent level (c.£50m target).

HRA Budget Forecast 2025-26

59. The HRA forecast for 2025-26 shows a deficit of £7.3m at period 6, a reduction of £2.8m over period 4 which is encouraging. More robust controls, monitoring and review of spending across the piece, along with the delivery of some modest savings against the targets set have contributed to a gradual improvement in the financial outlook. However, the underlying financial position remains challenging and there are a number of risks which could impact the final outturn. Repairs and Maintenance in particular remains the area of greatest spending pressure due to the scale, age and condition of the housing stock, compounded by new regulatory burdens and high construction industry costs. Currently, the risk of not fully achieving the level of savings required to meet the cash limit remains high, requiring further mitigating measures to balance the HRA for 2025-26.

HRA Budget Planning 2026-27

60. The principles of the Recovery Plan remain critical to securing the long-term viability of the HRA and will again underpin budget planning for 2026-27. The HRA is entirely reliant on its income streams (rents, service charges, garages and commercial property, etc.) which determines the overall resource envelope available for the provision of services. In line with the approach

adopted in previous years, service cash limits and directorate-led savings plans will be formulated and agreed, mindful of the Council's statutory duties versus non-statutory provision. Within the financial constraints that prevail, resources will again be targeted towards front-line provision and detailed baseline budget plans developed over the coming weeks. This process will be guided by strong governance and transparent decision-making and will be incorporated in subsequent MTFS reports to Cabinet.

Consultation

61. Business rate payers will be consulted on the budget proposals through the council newsletter and invited to comment.

Policy framework implications

62. This is in the main body of the report.

Community, equalities (including socio-economic) and health impacts

63. The council works in accordance with the single public sector equality duty contained within section 149 of the Equality Act 2010. This means the council must have due regard to the need to eliminate unlawful discrimination, harassment and victimisation, and advance equality of opportunity and foster good relations between different groups.
64. Transparency and fairness form part of the seven budget principles and are an underlying principle in the Borough Plan. As with the budget for 2023-24 and for previous years, where potential impacts have been identified, each department will undertake equality analysis/screening on its budget proposals ahead of the final decisions being taken. Where screenings identify potential impacts, more detailed analysis is being carried out.
65. Undertaking equality analysis helps the council to understand the potential effects that the budget proposals may have on different groups. The analysis also considers if there may be any unintended consequences and how any of these issues can be mitigated. Analysis is also undertaken to consider any crosscutting and organisation-wide and socio-economic impacts.
66. For many services, the budget proposals will include efficiencies that have staffing implications. As specific proposals are brought forward, and at each stage of implementation thereafter, the different impacts on different categories of staff will be assessed in accordance with the council's reorganisation, redeployment and redundancy procedures.
67. Equality analysis will continue through the cycle of planning and implementation of these budget proposals. In line with our Public Sector Equality Duty, any changes to services arising from these proposals will be implemented in such a way to not impact disproportionately on any specific section or group in our community. Where necessary, consultation will be undertaken alongside mitigating actions where necessary. In line with the process across the council, information on the equality analysis will be shared with the relevant cabinet members so it can be considered when decisions are

taken. The equality analyses will be collated across the council to look for any cumulative impacts.

Climate change implications

68. There are no direct climate change implications arising directly from this report, which provides an update on the budget setting process for 2026-27. The individual proposals contained within this report and its appendices will be subject to appropriate processes to assess and mitigate risks and to maximise potential benefits.

SUPPLEMENTARY ADVICE FROM OTHER OFFICERS

Assistant Chief Executive (Governance and Assurance) (CM 28.11.25)

69. The council has a legal obligation to set a balanced budget on an annual basis as prescribed in the Local Government and Finance Act 1992 and associated Regulations. The issues contained in this report will assist in the future discharge of that obligation.
70. Council assembly is responsible for agreeing the council budget in accordance with Part 3A of the council's constitution. Cabinet responsibilities under Part 3B of the constitution include agreeing a draft budget for council assembly. This report sets out the progress that has been made in relation to making that recommendation, which will be made at a future cabinet meeting.
71. The report includes reference to the proposed fees and charges that will be recommended or agreed at a future cabinet meeting. These are agreed on an annual basis and are included in the cabinet's reserved activities in Part 3C of the constitution. Fees and charges are set on the basis of a range of statutory duties and powers including the Local Government Act 2003 and the Localism Act 2011. Ordinarily, these will be set on a cost recovery basis.
72. There is reference in the report to the statutory requirement (under section 65 Local Government Finance Act 1992) to consult representatives of non-domestic ratepayers in relation to the council's proposals for expenditure in the forthcoming financial year. The results of such consultation will need to be conscientiously taken into account by the cabinet and council assembly in finalising the budget proposals.
73. The council is required under section 149 of the Equality Act 2010 to have due regard to the need to:
- Eliminate unlawful discrimination harassment and victimisation
 - Advance equality of opportunity between people who share protected characteristics and those who do not
 - Foster good relations between people who share protected characteristics and those who do not.
74. Equality analysis is the mechanism by which the council considers these effects. The report sets out how it is proposed equality analysis will be undertaken in relation to the budget proposals so that the implications can be considered when the budget recommendations are made.

75. It is essential that cabinet give due regard to the council's duty under the Equality Act 2010 and the implications for protected groups in the context of that duty in relation to this decision and future decisions on the budget proposals.

REASONS FOR LATENESS

76. This report provides an update on the council's budget-setting process. The timing of this update has been delayed, allowing for consideration of the Autumn Statement, published on 26 November 2025.

REASONS FOR URGENCY

77. We are responding to immediate circumstances and wish to bring this matter to your attention for any comments ahead of the budget report in February 2026.

APPENDICES

No:	Title
Appendix A	Proposed General fund Savings – 2026-27
Appendix B	Draft Fees & Charges - 2026-27

AUDIT TRAIL

Cabinet member	Councillor Stephanie Cryan Cabinet Member for Equalities, Democracy & Finance	
Lead officer	Clive Palfreyman – Strategic Director of Resources	
Report author	Timothy Jones – Director of Corporate Finance	
Version	Final	
Dated	28 November 2025	
Key Decision?	Yes	
CONSULTATION WITH OTHER OFFICERS / DIRECTORATES / CABINET MEMBER		
	Comments sought	Comments included
Assistant Chief Executive, Governance and Assurance	Yes	Yes
Strategic Director of Resources	Yes	Yes
Cabinet Member	Yes	Yes
Date final report sent to constitutional team		28 November 2025